

## Target Corporation Diversity, Equity, and Inclusion Strategic Proposal

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## Strategic Analysis of Target Corporation's DEI Evolution

Diversity, equity, and inclusion (DEI) are vital to modern organizational success. Target Corporation, a major U.S. retailer, has shown both dedication and complexity in its DEI efforts. This analysis reviews Target's evolving DEI strategy, structure, and leadership, highlighting key challenges and opportunities.

Target operates nearly 2,000 stores nationwide with 440,000 team members, generating \$107.4 billion in revenue in FY2024. Headquartered in Minneapolis with a hub in India, its diverse business spans general merchandise, groceries, beauty (via Ulta), and digital services. The workforce is 43% White, 31% Hispanic/Latino, 15% Black, and 5% Asian—reflecting the need for inclusive practices as U.S. demographics shift toward a minority-majority population by 2060.

Target's DEI strategy has evolved. After pledging increased Black representation and \$2 billion for Black-owned businesses, the company shifted in 2025. It ended explicit DEI goals, exited the Human Rights Campaign Corporate Equality Index, renamed 'Supplier Diversity' to 'Supplier Engagement,' and adopted 'Belonging at the Bullseye'—focusing on Team, Guests, and Communities. This reflects a strategic repositioning amid growing political and organizational pressures.

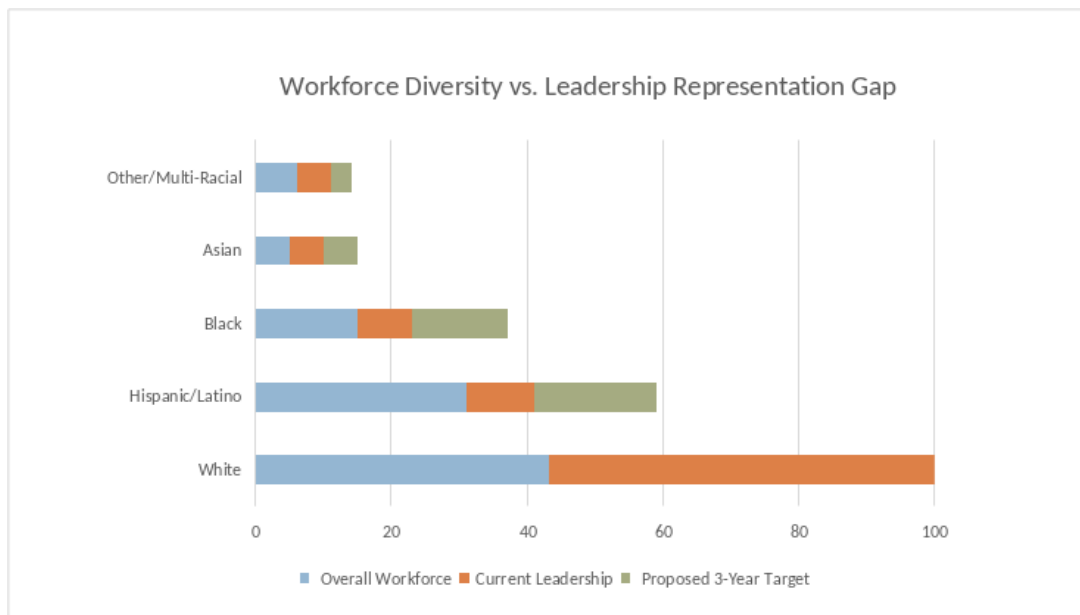
## 2. DEI MISSION AND STRATEGIC GOALS

Target's commitment to inclusion remains evident, though recent shifts in language—from explicit DEI terminology to the 'Belonging at the Bullseye' framework—suggest a strategic

repositioning. This approach emphasizes Team, Guests, and Communities, aiming to broaden engagement while navigating political sensitivities.

Research underscores the business value of DEI. Park et al. (2025) highlight growing academic focus on inclusion, while Okatta et al. (2024) show that inclusive cultures drive profitability, innovation, and engagement. Corbett et al. (2025) link supplier diversity to 133% higher ROI and improved equity across supply chains.

*Figure 1: Workforce Diversity Representation*



*Figure 1 Note: This chart shows the demographic composition of Target's current overall workforce compared to estimated current leadership representation and proposed three-year targets across five demographic categories. Demonstrates that while people of color represent 51% of the overall workforce, they comprise only an estimated 25-30% of leadership positions, illustrating the clear opportunity for advancement and current equity gap.*

### Proposed DEI Mission Statement

Target is committed to fostering an environment where every team member, guest, and community partner feels a genuine sense of belonging. We promote diversity, ensure equity, and drive inclusion across recruitment, development, guest service, and community

engagement. This statement aligns with Target’s “Belonging” framework while reintroducing clear DEI language. It emphasizes accountability and recognizes key stakeholder groups, positioning equity as a measurable goal.

#### Strategic DEI Goals

- Workforce Representation & Advancement: Raise leadership representation of people of color (Director level and above) to 40% within 36 months, reflecting the diversity of Target’s customers and communities.
- Inclusive Customer Experience: Enhance product offerings and shopping experiences to better serve diverse communities, aiming for a 20% increase in engagement among underrepresented groups within two years, measured via Target Circle and satisfaction scores.

### 3. ORGANIZATIONAL ANALYSIS

Structure: Target uses a matrix structure that blends functional departments (e.g., HR, Marketing, Supply Chain) with divisions by product and region. This setup supports cross-functional collaboration, vital for DEI integration. However, the lack of a Chief Diversity Officer means accountability relies on the CHRO and Chief Community Impact Officer.

Culture: Target’s values—“Care, grow, and win together”—support inclusive practices. Its long-standing 5% profit-giving model reflects deep community investment. The culture emphasizes data-driven decisions, customer service, and teamwork, all conducive to DEI success.

Research by Wang et al. (2024) shows that multi-session, theory-based DEI training is more effective than one-off sessions. Target’s infrastructure is well-positioned to support advanced inclusive leadership development. Still, the shift from DEI to “Belonging and Inclusion” may signal external pressure. Studies show that perceived DEI commitment strongly influences employee belonging and retention, yet only 26.1% of programs track long-term outcomes—highlighting the need for sustained efforts beyond rebranding.

## Policies and Procedures

Target enforces equal opportunity hiring, diverse recruitment, and a \$15+ starting wage. Anti-discrimination and harassment policies provide basic protections. However, gaps remain: promotion criteria need equity audits, accommodation policies require review, and supplier diversity standards need clearer accountability.

Pay equity is a key frontier. While Target offers competitive wages, demographic pay gaps may persist. Annual independent audits and transparent remediation would enhance trust and accountability.

## 4. OPERATIONAL DEI GOALS

| Goal Name                    | Objective                                                                                      | Metrics                                                                              | Accountability                                    | Resources                                                                                                    |
|------------------------------|------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|---------------------------------------------------|--------------------------------------------------------------------------------------------------------------|
| Leadership Representation    | Raise representation of people of color in Director+ roles to 40% within 36 months.            | Quarterly audits, promotion and retention tracking, pipeline development.            | CHRO reports to CEO and Board.                    | \$2M annually for leadership development, succession planning, sponsorship, and diverse hiring partnerships. |
| Pay Equity                   | Achieve 100% pay equity across demographics for comparable roles.                              | Annual audits, salary and raise tracking, transparency measures.                     | CFO and CHRO; reviewed by Compensation Committee. | \$5.2M annually for audits, tech infrastructure, training, and equity adjustments.                           |
| Inclusive Product Assortment | Ensure 20% of applicable product categories feature diverse-owned businesses within 24 months. | Supplier diversity, sales performance, guest satisfaction, Target Circle engagement. | CMO and Chief Community Impact Officer.           | Supplier diversity team, vendor development, inclusive merchandising training.                               |

|                          |                                                                   |                                                                         |                                 |                                                                                  |
|--------------------------|-------------------------------------------------------------------|-------------------------------------------------------------------------|---------------------------------|----------------------------------------------------------------------------------|
| Employee Belonging Index | Reach 85% belonging score on engagement surveys within two years. | Survey results, turnover rates, ERG participation, training completion. | CHRO with ERG Advisory Council. | \$500K annually for surveys, ERG support, training, and inclusive communication. |
|--------------------------|-------------------------------------------------------------------|-------------------------------------------------------------------------|---------------------------------|----------------------------------------------------------------------------------|

Target is investing approximately \$7.7 million annually—just 0.007% of its revenue—to advance DEI through four key goals:

### **Goal 1: Leadership Representation**

**Objective:** Raise representation of people of color in Director+ roles to 40% within 36 months.

**Metrics:** Quarterly audits, promotion and retention tracking, pipeline development.

**Accountability:** CHRO reports to CEO and Board.

**Resources:** \$2M annually for leadership development, succession planning, sponsorship, and diverse hiring partnerships.

### **Goal 2: Pay Equity**

**Objective:** Achieve 100% pay equity across demographics for comparable roles.

**Metrics:** Annual audits, salary and raise tracking, transparency measures.

**Accountability:** CFO and CHRO; reviewed by Compensation Committee.

**Resources:** \$5.2M annually for audits, tech infrastructure, training, and equity adjustments.

Note: Equity requires structural mechanisms—audits are foundational and financially impactful (Park et al., 2025).

### **Goal 3: Inclusive Product Assortment**

**Objective:** Ensure 20% of applicable product categories feature diverse-owned businesses within 24 months.

**Metrics:** Supplier diversity, sales performance, guest satisfaction, Target Circle engagement.

**Accountability:** CMO and Chief Community Impact Officer.

**Resources:** Supplier diversity team, vendor development, inclusive merchandising training.

Note: Diverse suppliers yield 133% higher ROI and support community development (Corbett et al., 2025).

### **Goal 4: Employee Belonging Index**

**Objective:** Reach 85% belonging score on engagement surveys within two years.

**Metrics:** Survey results, turnover rates, ERG participation, training completion.

**Accountability:** CHRO with ERG Advisory Council.

**Resources:** \$500K annually for surveys, ERG support, training, and inclusive communication.

Note: Belonging drives performance and retention (Okatta et al., 2024).

## 5. PERSONAL INCLUSIVE LEADERSHIP AGENDA

### Role & Responsibilities

As a Store Team Leader, I manage 150 team members across departments, overseeing operations, team development, guest satisfaction, and sales. I lead a diverse team in a metropolitan area and collaborate with HR, department leaders, and corporate stakeholders.

To promote inclusiveness, I focus on:

1. Inclusive Communication: Rotating facilitators, round-robin speaking, anonymous feedback, multilingual messaging, and strategic scheduling to ensure all voices are heard.
2. Equitable Development: Auditing growth opportunities, sponsoring underrepresented talent, standardizing feedback, and tracking promotion equity.

### Three DEI Commitments

1. Leadership Representation: Identify and sponsor high-potential team members from underrepresented groups, advocate for internal promotions, and ensure diverse candidate slates.
2. Pay Equity: Review starting salaries for fairness, support equitable raises, address concerns promptly, and maintain transparency in compensation decisions.
3. Community Connection: Partner with local organizations, support diverse-owned vendors, and foster an inclusive store environment through accessible facilities, multilingual signage, and inclusive customer service.

## 6. CONCLUSION

Stakeholder Impact: Target's DEI strategy delivers measurable benefits across stakeholders.

Employees gain greater belonging and advancement opportunities, reducing turnover.

Customers enjoy more inclusive products and experiences, boosting loyalty. Shareholders benefit from stronger performance, reduced risk, and talent retention. Communities see

economic growth through diverse supplier partnerships, and suppliers gain fair access and support.

#### Three-Year Timeline

1. Year 1: Establish baselines, launch training, and begin diverse hiring and assortment improvements.
2. Year 2: Track progress in leadership diversity, pay equity, supplier expansion, and belonging scores.
3. Year 3: Achieve representation and equity goals, reach 20% diverse supplier target, and hit 85% belonging index—driving improved sales, satisfaction, and retention.

Long-Term Impact: Target positions itself as a top employer for diverse talent, gains market share in diverse communities, and leads the industry in authentic inclusion. Integrated DEI practices create lasting competitive advantage.

#### McKinsey 7S Alignment

Target's DEI strategy aligns across all organizational elements:

- Strategy: Differentiates through inclusive service.
- Structure: Supports collaboration; could benefit from a Chief Diversity Officer.
- Systems: Embed DEI in HR, merchandising, and reporting.
- Shared Values: Integrate DEI with belonging.
- Style: Requires proactive inclusive leadership.
- Staff: Focuses on diverse hiring and development.
- Skills: Build cultural competency and inclusive leadership.

#### *Final Thought*

Target's DEI journey reflects the complex balance between inclusive messaging and measurable action. By aligning its strategy with authentic values and structural accountability, Target has the opportunity not just to adapt—but to lead. Its success will depend on the



courage to move beyond optics, the discipline to measure progress, and the commitment to ensure every stakeholder truly belongs.

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